

HDFC Bank Ltd | Financials | FY 2024-03

HDFCBANK | Nifty 100 Investment Tearsheet

283,649

Revenue (Rs Cr)

65,446

Net Profit (Rs Cr)

61.4

Operating Margin (%)

14.3

Return on Equity (%)

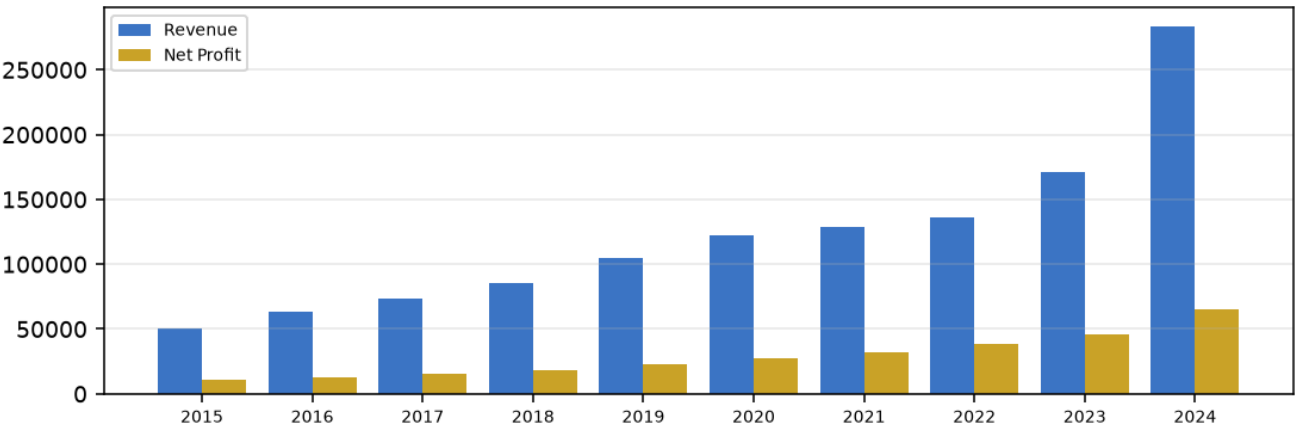
5.0

Return on Capital (%)

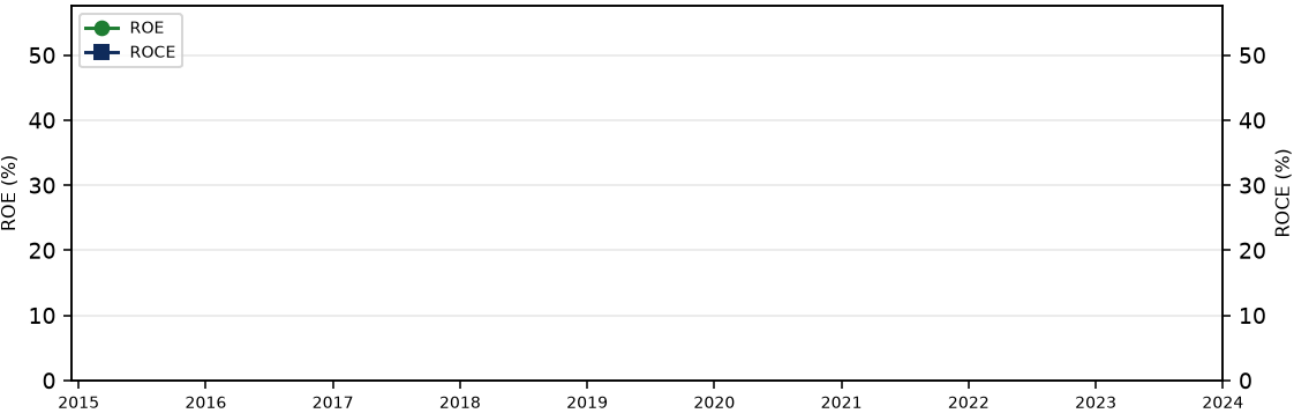
6.81

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)

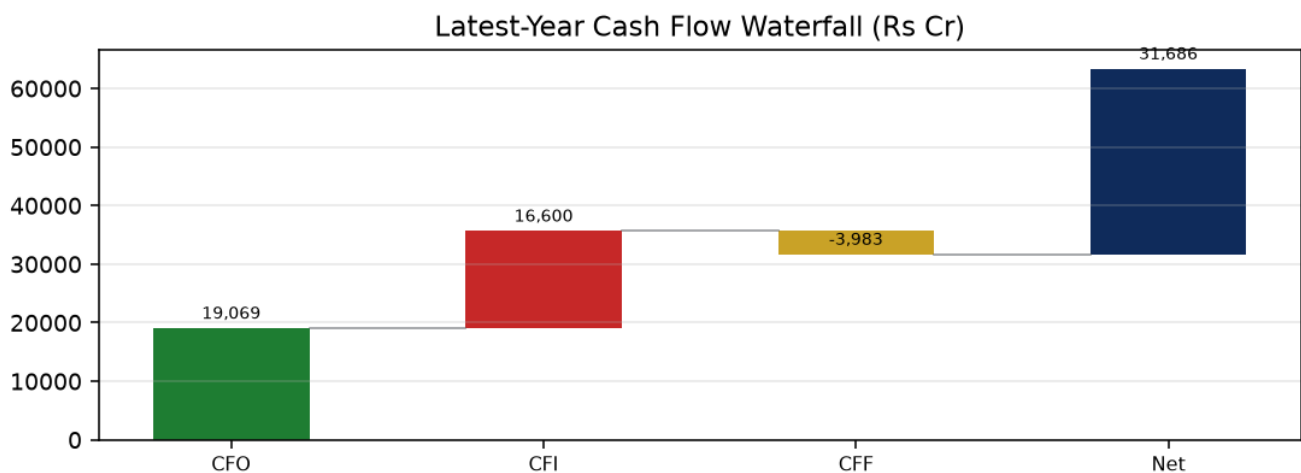
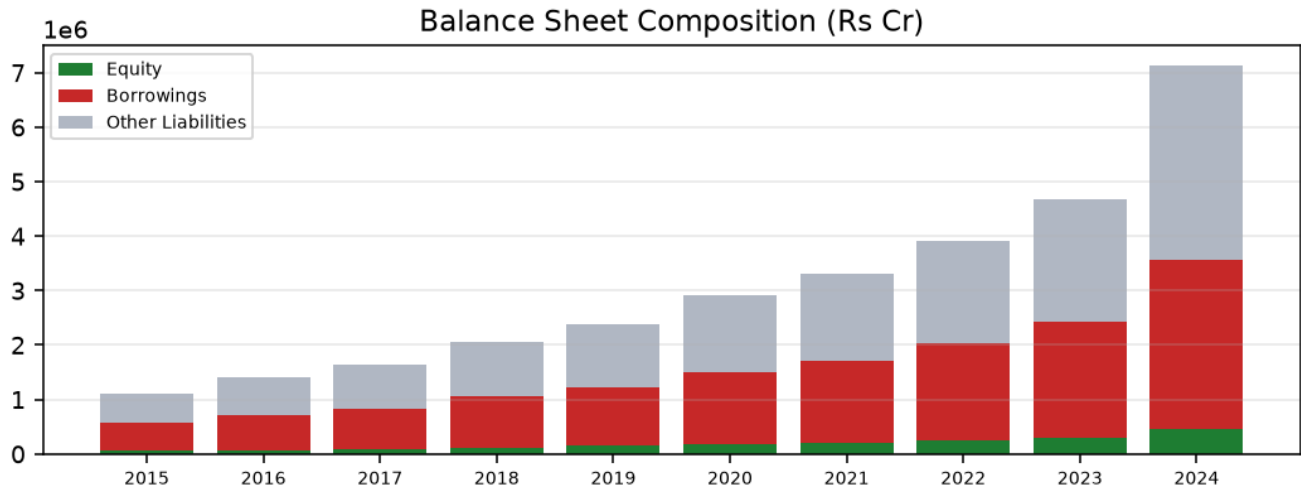


Return on Equity vs Return on Capital



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Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 2101821 cr exceeding 3 times EBITDA (11.86x) limits financial flexibility

Capital Allocation: Liquidating Assets